

Measuring Real Estate Trend and Health: A Professional Reference

A working framework for analyzing housing markets at the neighborhood, metro, and cross-market level. The metrics below are grouped by what they actually tell you — supply, demand, pricing, affordability, financial fundamentals, and forward signals — rather than by data provider. The most common analytical mistake is treating any single number as diagnostic; these indicators are a system, and divergence between them is usually where the real signal lives.

1. Supply Indicators

Months of Supply (MOS) / Months of Inventory

Active listings divided by the trailing average monthly sales pace. The most widely used single measure of market balance.

- **< 3 months:** Strong seller's market
- **3–5 months:** Tightening / mild seller's market
- **5–7 months:** Balanced market (the standard textbook range)
- **> 7 months:** Buyer's market
- **> 10 months:** Distressed / oversupplied

Absorption Rate

The inverse framing of MOS — homes sold in a period divided by active inventory, expressed as a percentage. Industry rules of thumb: anything over 20 percent signals a strong seller's market, anything below 15 percent signals a buyer's market. For single-family residential, absorption rates typically range between 10% and 50%, with 50% representing 2 months of inventory and 10% representing 10 months.

Active Listing Count and Year-over-Year Change

Headline inventory numbers are seasonal — always compare YoY rather than month-over-month. A rising inventory count alongside flat or rising sales is healthy expansion;

rising inventory with falling sales is the classic early signal of a turn.

New Listings vs. Pending Sales

The flow side of inventory. Useful because total active inventory can mask what's actually happening: a market can have rising active inventory either because more sellers are listing (supply expansion) or because buyers stopped absorbing (demand contraction). New listings tell you which.

Withdrawn / Delisted Rate

An underused indicator. When listings disappear without selling, it signals seller capitulation on price expectations without transactions occurring — a hidden supply overhang. Recent data has highlighted a 15–25% gap between purchase applications and closed sales year-over-year, with nearly 60% of listings being withdrawn by November 2025, which captures shadow supply that headline inventory misses.

Housing Starts and Building Permits

The forward-supply pipeline, reported by Census/HUD. Permits lead starts; starts lead completions; completions lead inventory and rents. Housing turns before the broader economy at both peaks and troughs, and the standard analyst practice is to compare starts to permits — divergence signals a trend change ahead, and to trust permits for direction.

2. Demand Indicators

Pending Home Sales

Contracts signed but not yet closed. The cleanest near-term demand read because it captures buyer commitment before the 30–60 day closing lag. NAR publishes the national index; Redfin publishes weekly metro data.

Mortgage Purchase Applications (MBA)

The earliest demand signal available. Purchase applications generally lead closed sales by about 30 to 90 days, making them a key near-term indicator. Track the MBA Purchase Index separately from refi activity — the two respond to different drivers.

Existing and New Home Sales

The lagging confirmation. NAR's Existing Home Sales and Census/HUD's New Home

Sales are backward-looking but essential for confirming whether leading indicators converted into transactions.

Days on Market (DOM) and Median Time to Pending

Faster than closed sales data and directly reflects buyer urgency. Useful thresholds: hot markets typically have a DOM under 30 days, while cooling markets show a DOM over 40 days. Always compare to the same metric a year prior in the same market — DOM is highly seasonal.

Sale-to-List Price Ratio (SNLR / Sale-to-Ask)

The single best read on negotiating power. A ratio above 60% indicates a seller's market, while below 40% signals a buyer's market. When the ratio drops from ~100% to ~98%, that's a meaningful shift even though the headline looks small.

Showing Traffic and Search Intensity

ShowingTime, Redfin's "homebuyer demand index," and Realtor.com search-views-per-listing are useful real-time proxies for buyer engagement before contracts are signed.

NAHB Housing Market Index (Builder Confidence)

The earliest signal in the entire chain. Builder confidence often leads permits and starts by 1–3 months. When builders turn pessimistic, they pull back on permit applications before starts drop, making NAHB the earliest signal in the housing data chain: NAHB confidence → Permits → Starts → Completions → Inventory/Rents.

3. Pricing Indicators (and Why the Index Matters)

The most common error in market analysis is comparing across price measures that use different methodologies. Always know which index produced the number you're quoting.

S&P CoreLogic Case-Shiller Home Price Index

The institutional standard. Repeat-sales methodology covering 20 major MSAs and a national composite. Released at a 7–8 week lag, it captures the evolving value of the housing stock taken as a whole portfolio. It is a value-weighted repeat sales price index that covers the full spectrum of home values. Limitations: excludes new construction and condos in some markets; high lag.

FHFA House Price Index

Also repeat-sales, with the longest history (back to the mid-1970s) across all 50 states and 400+ cities. The trade-off: FHFA and Freddie Mac indices are constructed through transactional repeat sales, but they are limited to data from home sales associated with GSE-linked loans, which focus on non-jumbo conforming data, the lower-priced end of the housing market. Strong for middle-market trends, weak at the high end.

Zillow Home Value Index (ZHVI)

Hedonic/AVM-based rather than repeat-sales. A time series tracking the monthly median home value in a particular geographical region, generated at seven geographic levels: neighborhood, ZIP code, city, congressional district, county, metropolitan area, state and the nation. Advantage: granular, timely, covers full housing stock including new construction. Methodology trade-off: transactional indices are more volatile, with HPI spreads associated with both macro and local drivers. The transactional index will rise more rapidly in a market with increased buying and fall further in a market with decreased buying.

Practical Methodology Note

Repeat-sales indices and AVM-based indices diverge at turning points. A documented example: the FHFA HPI peaked at an annualized monthly appreciation of 25.2% in April, the S&P/Case-Shiller Index at 23.9% in May, and Zillow's ZHVI at 27% two months after than in July during the 2021 peak. For institutional reporting, blending an AVM-based index with a repeat-sales index is increasingly standard practice.

Median Sale Price

Useful only with caveats. Movement in median price can reflect either appreciation or compositional shift (more high-end homes selling). Always pair median price with price-per-square-foot and a repeat-sales index to disentangle.

Median Price per Square Foot

The cleaner pricing measure for short-window comparisons because it partially controls for size mix. Most useful at neighborhood and ZIP-code level where Case-Shiller is unavailable.

Price Cuts / Reduction Share

The percent of active listings with at least one price reduction. A direct read on seller capitulation and one of the fastest indicators of softening demand — moves before closed-sale prices do.

4. Affordability and Financial Stress Indicators

NAR Housing Affordability Index

Measures whether a median-income family can qualify for a mortgage on a median-priced home. Values above 100 mean a median-income family has more than enough income; below 100 means they fall short.

Price-to-Income Ratio

Median home price divided by median household income. Historical norm is roughly 3–4x in the U.S.; sustained readings above 5x signal affordability stress and elevated correction risk.

Price-to-Rent Ratio

Median home price divided by median annual rent. Standard interpretation: a ratio of less than 15 means it's cheaper and more affordable to buy than rent; a higher ratio indicates that property prices are high compared to rents and that renting may be a better option. As of early 2026, San Francisco and San Jose had price-to-rent ratios of 45 and 40.5 respectively, while cities like Detroit (8), Baltimore (13), Chicago (15), and Philadelphia (14) came in with some of the lowest ratios. For cross-market comparison, this is one of the most useful single ratios available.

Mortgage Rate Sensitivity

Each 1% rate increase reduces purchasing power by approximately 10-11%. Track the 30-year fixed conforming rate alongside the 10-year Treasury — the spread between them widens in periods of credit stress.

Mortgage Delinquency and Foreclosure Rates

Lagging stress indicators. Foreclosures spike after economic distress, not during it. MBA's National Delinquency Survey and ATTOM's foreclosure data are the standard sources. Useful for confirming a downturn, not predicting one.

Rate-Lock-In Effect

A relatively new metric tracking the spread between the average outstanding mortgage rate (~3.8%) and the prevailing market rate. A wide spread suppresses existing-home turnover regardless of price trends — critical context for interpreting low inventory in 2024–2026.

5. Investor / Income-Property Metrics

Capitalization Rate (Cap Rate)

NOI divided by property price. The standard valuation multiple for income property. Compare to risk-free rate and to local cap rate trends — cap rate compression signals price appreciation outpacing rent growth (a warning sign for new buyers).

Net Operating Income (NOI)

Measures a property's profitability by subtracting operating expenses from total revenue. This calculation includes property management fees, maintenance, taxes, and insurance, but excludes financing and capital expenditures. The foundation underneath cap rate and DSCR.

Debt Service Coverage Ratio (DSCR)

NOI divided by annual debt service. A DSCR above 1.25x is often required by lenders to ensure stability. Falling DSCR at the market level signals investor stress.

Gross Rent Multiplier (GRM)

Price divided by gross annual rent. A faster, dirtier screening metric than cap rate — useful for first-pass cross-market comparison.

Vacancy Rate and Rent Growth

Natural vacancy rate is typically 5-7%; significantly higher suggests oversupply or economic weakness. For rental markets, vacancy × rent growth gives you a cleaner read on demand than transaction-based metrics.

6. Underlying Economic and Demographic Drivers

These don't measure the housing market directly — they measure what *drives* the housing market and should be tracked alongside the metrics above.

- **Employment growth and wage growth** — the prerequisite for housing demand
- **Net migration / population change** — Census ACS plus state-level IRS migration data
- **Household formation rate** — captures latent demand independent of population

- **Median household income (and its growth)** — denominator of affordability
 - **Labor force participation and unemployment**
 - **Local industry diversification** — single-industry metros face concentrated risk
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7. Composite Indices Worth Knowing

- **U.S. News Housing Market Index** — a single number that measures and compares the health of U.S. housing markets using a data-driven approach, based on three main economic indicators: housing demand, housing supply and financial health.
 - **HUD National Housing Market Indicators** — monthly composite from HUD's Office of Policy Development and Research.
 - **NAHB/Wells Fargo HMI** — the builder sentiment composite.
 - **Conference Board Leading Economic Index (housing components)** — for relating housing signals to broader macro turning points.
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A Practical Analytical Framework

Single metrics deceive; combinations diagnose. A few patterns worth memorizing:

1. **Rising inventory + falling sales + rising DOM + falling SNLR** = clean cooling signal. All four together is hard to argue with.
2. **Rising sales + rising inventory** = healthy expansion, not a turn. An increase in sales alongside growing inventory suggests a healthy, active market rather than a declining one.
3. **Permits falling while starts hold up** = builders working through pipeline; weakness comes later.
4. **Repeat-sales index diverging from median price** = compositional shift, usually the high end pulling away from the rest of the market.
5. **Withdrawn-listing share rising while inventory looks flat** = hidden supply overhang.
6. **Price-to-rent rising faster than price-to-income** = investor-led market, more correction-prone.

Scope Considerations

- **Neighborhood / ZIP level:** Case-Shiller and FHFA aren't granular enough. Rely on MLS-derived data (DOM, SNLR, price cuts, absorption), Zillow ZHVI at ZIP, and price per square foot. Sample sizes get noisy quickly — use 6- or 12-month rolling windows.
- **Metro / MSA level:** Case-Shiller (20-city), ZHVI, FHFA MSA-level HPI, NAR pending sales by region, MBA application data by metro where available.
- **Cross-market comparison:** Normalize. Price-to-income, price-to-rent, MOS, YoY price growth, and net migration are the cleanest cross-market metrics. Absolute price levels are nearly useless for comparison.

Common Pitfalls

- Relying on national headlines for local decisions
- Quoting median price without checking compositional mix
- Treating any single month of data as a trend (always rolling windows for neighborhood-level work)
- Ignoring seasonality — normalize to YoY or seasonally adjusted series
- Conflating affordability (a level) with momentum (a rate of change)
- Missing the divergence between repeat-sales and AVM indices at turning points

Key Data Sources

Source	What it provides	Lag
S&P CoreLogic Case-Shiller	Repeat-sales HPI, national + 20 MSAs	~2 months
FHFA HPI	Repeat-sales HPI, national + 400+ cities	~2 months
Zillow Research	ZHVI, ZORI rents, inventory, DOM down to ZIP	~1 month
Redfin Data Center	Weekly metro-level sales, pending, price cuts, SNLR	~1 week

Realtor.com	Active listings, new listings, DOM, price reductions	Weekly
NAR	Existing home sales, pending sales, affordability index	~1 month
Census/HUD	New home sales, starts, permits, completions	~1 month
MBA	Purchase and refi applications	Weekly
NAHB	Builder confidence (HMI)	Monthly
FRED (St. Louis Fed)	Aggregator for most public housing series	Varies
ATTOM	Foreclosure data	Monthly
HUD USER	National Housing Market Indicators composite	Monthly